

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

**RESPONDENT’S MOTION FOR SANCTIONS FOR FAILING TO COMPLY WITH
DISCOVERY ORDERS**

COMES NOW, Respondent, Flexport International, LLC (“Flexport”), by and through the undersigned counsel, and pursuant to the Federal Maritime Commission’s (“FMC”) Rules of Practice and Procedure 46 C.F.R. § 502.150, hereby moves for an order striking the pleadings and awarding sanctions. In support thereof, Flexport states as follows:

BACKGROUND

On January 3, 2025, Flexport filed its motion to compel. [Doc. 30]. On March 25, 2025, a video conference was held before the ALJ to discuss the motion for protective order filed by Flexport on March 20, 2025. [Doc. 42]. At the hearing, the ALJ addressed several issues that were also pertinent to the motions to compel filed by both Flexport and Peloton. In the Order entered on March 26, 2025 (hereinafter the “First Order”), the Parties were required to meet and confer to discuss narrowing the issues for consideration. Peloton was also ordered to provide to provide “a

supplemental response to Respondent's interrogatories with references to Bates numbers for documents responsive to the interrogatories." [Doc. 47, First Order at page 2].

On April 22, 2025, the ALJ entered an Order requiring the supplemental responses to be provided by April 25, 2025. [Doc. 52, hereinafter the "Second Order"]. On May 15, 2025, the ALJ entered an Order on the motion to compel. [Doc. 62, hereinafter the "Third Order"]. Peloton has failed to comply with all three Orders.

LEGAL STANDARD

FMC Rule 502.150(b) provides, in pertinent part:

If a party or a party's officer or authorized representative fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests, the presiding officer upon his or her own initiative or upon motion of a party may make such orders in regard to the failure or refusal as are just. A motion must include a certification that the moving party has conferred in good faith or attempted to confer with the disobedient party in an effort to obtain compliance without the necessity of a motion. An order of the presiding officer may:

- (1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;
- (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or
- (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

DISCUSSION

Despite being ordered to on March 26, 2025, Peloton did not supplement its interrogatories to identify specific Bates numbers for each response and refused to even provide a date by which such supplement would be provided. Then, as set forth in Flexport's Motion to Dismiss, at her

deposition, Peloton's corporate representative testified over two dozen times that the information sought can be found in the voluminous discovery. [Doc. 54 at p. 13-14].

Only after the Second Order was entered did Peloton finally provide the Supplemental Responses to Interrogatories on April 25, 2025. The Supplemental Responses are attached hereto as Exhibit "A". No Supplemental Responses to Requests for Production have ever been provided – nor any supplemental documents produced.

However, the Supplemental Responses did not address either the arguments raised in the motion to compel or the ALJ's Order.

One key issue raised in the motion to compel were the multiple boilerplate and frivolous objections asserted by Peloton, including harassing, compound, overly broad, unduly burdensome, privileged, etc. A related issue was that all responses by Peloton were "subject to" these objections.

At the hearing on March 25, 2025, the ALJ specifically stated that these objections would not stand and responses which were "subject to" objections were not useful or appropriate.

Yet, incredibly, in the Supplemental Responses, Peloton not only did not withdraw the objections, but in fact specifically reincorporated and reasserted all of the general and specific objections. When asked whether Peloton would withdraw the objections, counsel for Peloton simply stated that the Second Order did address the objections so Peloton did not need to withdraw same.

The Third Order provided, in pertinent part:

Peloton's objections regarding Interrogatories Nos. 12-15 and 18 are so sweeping as to be meaningless, and it must respond to them to the extent it has non-privileged documents or information.

[Doc 62, Third Order at p. 4].

The Third Order also ordered that:

[T]o the extent that the supplemental responses has not yet been provided, Peloton is ORDERED to respond to Interrogatories Nos. 12, 13, 14, 15 and 18, and provide specific Bates number references to the documents that it maintains are responsive to each of the interrogatories.”

[Doc. 62, Third Order at p. 4].

On May 20, 2025, Peloton served its Second Supplemental Interrogatory Responses, attached hereto as Exhibit “B”. Incredibly, the Second Supplemental Response begins with the following:

This response supplements, and does not replace, Peloton’s prior responses to these Interrogatories. **Peloton expressly incorporates by reference all general and specific objections**, as well as all substantive responses, set forth in its previous responses to these Interrogatories.

[Ex. B., Second Supplemental Response at p. 1].

To be clear, Peloton did not withdraw its objections or the “subject to” line – but instead reincorporates them into the Second Supplemental Responses – after the hearing on March 25 following by the Third Order specifically stating they were meaningless. Indeed, during the meet and confer for the instant motion, counsel for Peloton again stated that it was not required to withdraw its objections or amend its responses so as not to be “subject to” same.

To summarize:

1. Peloton asserted a plethora of frivolous, boiler-plate objections forcing Flexport to file a motion to compel
2. At the hearing on March 25, 2025, the ALJ specifically Peloton’s responses which were “subject to” such objections
3. Peloton was then ordered to supplement its responses
4. Peloton failed to do so, and did not even provide its supplemental response until the ALJ Ordered it to do so again.

5. Peloton maintained that it did not need to withdraw its objections because the Second Order did not say so.
6. The Third Order then provided that the objections were meaningless
7. Peloton then provided its Second Supplemental response, which again re-incorporated and reasserted all of its objections and responses.

Yet this only scratches the surface. Another key issue raised in the motion to compel was that for most of the interrogatories, Peloton merely referred to its entire production of documents instead of specifically identifying same as requested. The Second Order specifically required Peloton to identify “references to Bates numbers for documents responsive to the interrogatories.” [Doc. 52, Second Order at p. 2].

Instead, for several interrogatories, Peloton does not provide an answer at all but instead makes an argument as to how the interrogatory does not apply and then blanketly refers to “the deposition testimony in this case, and to the Expert Reports of John D. McCown and Richard J. Roche.” [See Ex B., Responses to Interrogatories # 5, 7, 8, 10, 11, 16, 17, 19 and 20].¹

Peloton thus not only failed to identify the specific Bates numbers as ordered, but now simply made vague references to expert reports and deposition testimony as “responsive” without identifying where these “responses” are – or even which deposition transcripts.

For example, Interrogatory # 7 requested that Peloton identify where, precisely, the term “store door” is contained in any document. Peloton’s Supplemental response is as follows:

Without waiving its previous objections, Flexport and Peloton agreed to store door terms (i.e. whereby Flexport was responsible for providing or procuring transportation of Peloton’s cargo from port to door, including ocean and inland transportation), which is also consistent with how Flexport

¹ Flexport does not take issue with the following supplemental responses except that same still assert the boilerplate objections and “subject to” language: 1, 5, 10, 16, 17, 19, 20, 21, 23, 26. Flexport does not take issue with the following supplemental responses except to the extent same refer vaguely to the expert reports and depositions: 10, 16, 17, 19, 20, and 21.

advertised its services on its website, in the negotiations for services, and how Flexport actually moved Peloton's cargo – store door. Although Flexport has not identified specific documents in this Interrogatory, to the extent Flexport is claiming that the absence of the specific quoted term “store door” in the Master Services Agreements (MSAs) removes Flexport from the FMC's jurisdiction over it as a common carrier or its responsibilities as an NVOCC, Flexport is incorrect. Peloton further refers Flexport to the deposition testimony and the Expert Reports of Richard J. Roche and John D. McCown.

No document or page number of any document is indicated in this response.

Interrogatory # 8 requested that Peloton identify specifically the precise portion of the **documents** and **correspondence** wherein Flexport agreed to be responsible for the payment of all D&D charges. Peloton's Supplemental response is as follows:

Without waiving its previous objections, Flexport advertised, agreed, and served as common carrier for Peloton, responsible for both ocean and inland transportation of the cargo, with costs for both included in store door freight rates. Where Flexport managed both the ocean and inland transportation of cargo, Flexport was responsible for payment of inland transportation costs, including demurrage and detention charges incurred due to circumstances beyond Peloton's control. Peloton further refers Flexport to the deposition testimony in this case, and to the Expert Reports of John D. McCown and Richard J. Roche. See also Supplemental Response to Interrogatory No 7.

No documents or correspondence are identified at all.

Interrogatory # 9 is very simple – Peloton was to state whether Flexport issued a through bill of lading for any shipment? Peloton's Supplemental response was as follows:

Without waiving its prior objections, Flexport issued the bills of lading and therefore, this information is in Flexport's possession. Peloton reserves the right to supplement this response once it receives and has sufficient time to analyze Flexport's full production.

Flexport has produced every single bill of lading issued – all of which have been always been available to Peloton on the Flexport customer portal. None of them are through bills of lading.

Interrogatory # 12 asked Peloton to state, for each subject shipment, the cause of all delays

relating to the retrieval and return of the containers. Peloton's Supplemental response is as follows:

Without waiving its previous objections, Flexport maintained and/or had control over the Flexport platform containing information about the Subject Shipments and therefore, this information is in Flexport's possession. Peloton also refers Flexport to additional examples under the "Flexport," "Carriers," and "Logistics" tab of the bates log.

The tab for "Flexport" contains 12,265 line items. The undersigned picked a line at random – PELOTON 59432. This was a Customs Entry Summary issued in November, 2020. Nothing to do with any delay or retrieval – and not related to any shipment at issue in this litigation since it is time-barred.

The tab "Carriers" contains 2,910 line items. The undersigned picked a line at random – PELOTON 48708. This was an internal Peloton discussion regarding air freights and "last mile capacity" – neither of which has anything to do with anything in this case.

The tab "Logistics" contains only 1 line item. The undersigned picked a line at random – PELOTON 40179. This was a spreadsheet showing details of the shipments – without any statement as to any cause of delay – or delay at all.

And this was the exact same response provided by Peloton for Interrogatories # 13 and 14, seeking how Flexport contributed to the delay.

Interrogatory # 15 asked Peloton to identify, for each Subject Shipment, the date upon which Peloton advised that the container was available to be returned. Peloton's Supplemental response is as follows:

Without waving its previous objections, Flexport maintained and/or had control over the Flexport platform containing information about the Subject Shipments and therefore, this information is in Flexport's possession. See for example, PELOTON0032729-PELOTON0032748; PELOTON0003753-PELOTON0003759; PELOTON0032762-PELOTON0032764; PELOTON0032288-PELOTON0032289; PELOTON0032728; PELOTON0031323; PELOTON0046062;

PELTON0026519; PELTON0003753. Peloton also refers Flexport to additional examples under the Container Information tab of the bates log.

The first document identified, PELTON 32729 – 32748 is a guide to Flexport’s Warehouse App. This not only has nothing to do with any shipment or issue in this litigation at all, but is completely non-responsive. The interrogatory asked for the date upon which Peloton advised Flexport that the container was available for pickup.

The undersigned also looked at a random document in the “Container Information Tab” – PELTON 49993. This is an email from Flexport to Peloton providing Flexport’s Weekly Report of all active shipments. This does not contain any reference from Peloton as to when the empty container at their warehouse is ready to be picked up.

And this was the exact same response to Interrogatory # 18, which asked Peloton to identify how many days each container was at Peloton’s facility before Peloton advised Flexport that same could be returned – and to identify how any such delay could be the result of Flexport’s actions or inactions.

Even more important, however, is that the responses were not from Peloton at all, but from counsel, who dropped a footnote on page 5 which states “The bates log referred to herein was prepared by counsel and references to the bates log are those of counsel.” [Ex. A at p. 5].

And this was exactly the argument raised in Flexport’s Motion to Dismiss – that counsel has directed the entire litigation, instructed Peloton’s corporate representative to refer to the mass document production, and concealed clearly relevant information and documentation. Now, Peloton again refers to a group of thousands of documents prepared and compiled by counsel – not Peloton. Thus, despite the verification of Peloton’s corporate representative that the responses are true and correct, clearly Peloton has no knowledge of this and Peloton has not complied with

the Order.

Now Peloton has filed its Second Supplemental Responses – solely for Interrogatories 12, 13, and 14. For each of these Interrogatories, Peloton now provides – in its entirety – the following Second Supplemental Response:

Without waiving its previous objections, Peloton refers Flexport to the Supplemental Expert Report of Gregory E. Smith and exhibits, served on May 19, 2025, which contains a detailed analysis of the Portal Events Files (produced by Flexport as the “Peloton Events Downloads”) and correlates recorded shipment events causing delays with each shipment contained in Exhibit A of Peloton’s Amended Complaint.

To be clear, in Compliance with the Third Order, for each of the responses, Peloton now simply refers to its supplemental expert report – produced just the day before.

However, the deadline to produce expert reports expired a month ago – on April 21, 2025. Further, the supplemental expert report specifically seeks to rebut the expert report of Flexport. However, the deadline to produce rebuttal expert reports has also passed – on May 5, 2025.

What is perhaps most interesting however, is the opinion of Mr. Smith itself. Mr. Smith, in short, was designated as Peloton’s damages expert. Peloton has already submitted two other expert reports on liability. But Mr. Smith’s initial expert report concerned solely damages and specifically did not address whether Flexport was liable for same, but rather based his opinion on the assumption that Flexport was liable. In his supplemental report, however, Mr. Smith now surprisingly offers a detailed opinion as to Flexport’s liability.²

So, in response to the Three Orders requiring Peloton to identify specific Bates numbers to which its responses were made, Peloton has:

1. Produced a corporate witness who had absolutely no knowledge as to any documents

² This will be the subject of a separate motion to strike. But it is important here because now Peloton has referred to this report as its supplemental responses to the three interrogatories.

- produced in this case and merely referred – 2 dozen times – to the mass document production;
2. Produced Supplemental Interrogatory Responses over a month after being ordered to do so, and which responses: (a) either again referenced thousands of pages of documents – which are non-responsive; (b) referenced vague references to two expert reports and the depositions in the case; and/or (c) referenced specific Bates ranges for documents which are completely non-responsive.
 3. Produced a Second Supplemental Response which not only reincorporated and reasserted its vague boilerplate objections which have been soundly rejected, but which now refer to a damages expert's supplemental report addressing liability – served well after the deadline to do so.

Peloton has disregarded three Orders as well as the rulings of the ALJ at the hearing on March 25, 2025. All of the Orders referenced the repercussions of doing so. Despite these multiple warnings, Peloton has repeated its transgressions, continually demonstrating its position that it simply does not need to comply.

Flexport expressly reincorporates and repeats the arguments raised in its Motion to Compel and its Motion for Sanctions. Flexport has repeatedly maintained that Peloton and its counsel were engaged in gamesmanship, which included blatant discovery violations from the very beginning of this case. Flexport again maintains that these actions warrant the imposition of sanctions, including outright dismissal and an award of attorney's fees.

CONCLUSION

Wherefore, for the foregoing reasons, Flexport respectfully requests that the Presiding Officer enter an order striking the Amended Complaint, for an award of sanctions against Peloton

and its counsel, for attorney's fees and costs, and for such other and further relief as deemed just and proper.

CERTIFICATION OF CONFERENCE

The undersigned certifies that on May 21, 2025 he conferred vis video conference with counsels for Peloton, who did not agree to any relief requested herein.

Dated: May 21, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on May 21, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.